

THE ELEMENTARY PRACTICES AND PRINCIPLES OF ACCOUNTING

What each user needs to know starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Accounting concepts starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Accounting standards starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why standards are necessary starts with a concrete question.

The procedure keeps the idea tied to the facts.

In Who Uses Accounting Information, we begin with what each user needs to know rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

2.4 PRINCIPLES, STANDARDS AND THE LANGUAGE OF BUSINESS

In Principles, Standards and the Language of Business, we begin with accounting concepts rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Principles, Standards and the Language of Business, we begin with accounting standards rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Principles, Standards and the Language of Business, we begin with why standards are necessary rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

THE ELEMENTARY PRACTICES AND PRINCIPLES OF ACCOUNTING



KUTUSH KUMAR, KUTUM PAKHI

The figure shows the same relationship in a compact visual form.

Financial, management and cost accounting starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the four jobs of accounting as a flow from event to rep

FIG. 2.1. the four jobs of accounting as a flow from event to report

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

2.2 BRANCHES OF ACCOUNTING

In Branches of Accounting, we begin with financial, management and cost accounting rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

CONTENTS

I. BUSINESS, MONEY AND RECORDS	1
1.1 Everyday Money and the Need for Records	2
1.2 What Businesses Do	4
1.3 Service, Merchandising and Manufacturing Firms	5
1.4 Sole Trader, Partnership and Company	6
II. ACCOUNTING, ITS USERS AND ITS RULES	9
2.1 What Accounting Is	10
2.2 Branches of Accounting	12
2.3 Who Uses Accounting Information	13
2.4 Principles, Standards and the Language of Business	14
III. THE ACCOUNTING EQUATION	17
3.1 Assets, Liabilities and Owner's Equity	18
3.2 Income, Expenses and Withdrawals	20
3.3 Business Transactions	21
3.4 Summarising Transactions in the Equation	22
IV. A FIRST LOOK AT THE FINANCIAL STATEMENTS	27
4.1 The Income Statement	28
4.2 The Statement of Owner's Equity	29
4.3 The Balance Sheet	30
4.4 How the Statements Connect; Accounting Periods	31
V. ACCOUNTS, DEBITS AND CREDITS	35
5.1 The Account and Its Six Types	36
5.2 Debit and Credit	37
5.3 Double Entry in Practice	38
5.4 T-Accounts	39
VI. JOURNAL AND LEDGER	45
6.1 The Journal and Journal Entries	46
6.2 The Ledger and Posting	47
VII. THE TRIAL BALANCE AND THE ACCOUNTING CYCLE	53
7.1 Preparing a Trial Balance	54
7.2 Finding and Correcting Errors	55
7.3 Steps of the Accounting Cycle	56
VIII. ADJUSTING THE ACCOUNTS	61
8.1 Why Accounts Need Adjusting	62
8.2 Prepaid Items and Unearned Revenue	64
8.3 Accrued Items	65
8.4 Depreciation as an Adjustment	66
8.5 The Adjusted Trial Balance	67
IX. THE WORKSHEET	71
9.1 What a Worksheet Is and Why It Helps	72
9.2 Building the Ten-Column Worksheet	73
X. CLOSING THE BOOKS	79
10.1 Preparing the Statements from the Worksheet	80
10.2 Closing Entries	81
10.3 Reversing Entries	82
XI. MERCHANDISING COMPANY ACCOUNTS AND CLASSIFIED STATEMENTS	87
11.1 Buying and Selling Goods	88

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Accounting, the process of recording, sorting, summarising and reporting the money events of a business

Accounting names one specific idea needed here.

Financial accounting, accounting that prepares reports on a business for people outside it, such as banks and tax officers

Financial accounting names one specific idea needed here.

Management accounting, accounting that gives a business's own managers the information they need to plan and decide

Management accounting names one specific idea needed here.

Cost accounting, accounting that works out what it costs to make a product or provide a service

Cost accounting names one specific idea needed here.

User of accounting information, any person or group that reads accounting reports in order to make a decision

User of accounting information names one specific idea needed here.

Business entity concept, the rule that a business is kept separate from its owner when records are made

Business entity concept names one specific idea needed here.

Going concern concept, the assumption that a business will continue to operate for the foreseeable future

Going concern concept names one specific idea needed here.

Money measurement concept, the rule that only events that can be stated in money are recorded

Money measurement concept names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Accounting, Its Users and Its Rules addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

2.1 WHAT ACCOUNTING IS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Accounting** means the process of recording, sorting, summarising and reporting the money events of a business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Financial accounting** means accounting that prepares reports on a business for people outside it, such as banks and tax officers. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Management accounting** means accounting that gives a business's own managers the information they need to plan and decide. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cost accounting** means accounting that works out what it costs to make a product or provide a service. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **User of accounting information** means any person or group that reads accounting reports in order to make a decision. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Business entity concept** means the rule that a business is kept separate from its owner when records are made. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Going concern concept** means the assumption that a business will continue to operate for the foreseeable future. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Money measurement concept** means the rule that only events that can be stated in money are recorded. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

TO THE READER

This book is written for readers who are meeting the subject for the first time. It assumes no earlier knowledge. Every new word is explained when it first appears, and the book moves slowly wherever an idea is new or difficult.

Beside most paragraphs you will find a note in the narrow column at the edge of the page. A note in italics gives the main point of the paragraph in one line. Read these notes first to see the shape of a chapter, and again when you review.

A word in **bold type** is a new term. It is shown in bold once, where it is first explained, and its meaning is repeated in the narrow column. After that the word appears in ordinary type. Italics are used for emphasis, for foreign words and for the titles of books.¹

Where an everyday word has a special meaning here, a note marked "Word in use" says so. Where an idea is both new and hard, a note reads "Go slowly here", and the text slows down with it.

HOW A CHAPTER RUNS

A chapter opens with a puzzle, then builds its ideas one section at a time. Each section ends with a short recap. The chapter closes with a summary, a problem to think through, the common mistakes people make, a true account from history, and review questions. Questions are numbered, such as 7.1, and their answers are collected at the back of the book.

When a chapter points to another part of the book, it names the chapter and the section, for example Chapter 3, section 3.2. Use the Contents to find it. At the back you will find a glossary of every term, the answers to the questions, a list of further reading, and an index.

This book teaches The Elementary Practices and Principles of Accounting one idea at a time, from the very beginning.

The narrow column beside the text holds short notes.

Key term. A new word, shown in bold where it first appears, with its meaning in one line.

A bold word is a new term, and its meaning waits beside it.

Some everyday words have a second, special meaning in this subject.

Each chapter has the same shape, so you always know where you are.

Chapters refer to one another by name, never by page.

THINK IT THROUGH

01.T1 What is the central problem that this chapter method is designed to solve?

01.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

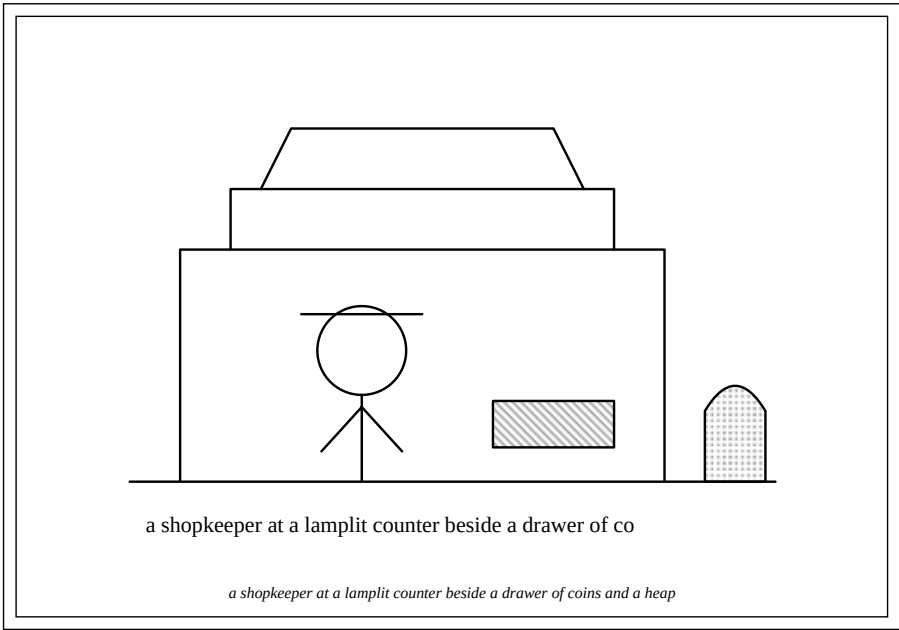
Clay tokens and tablets of ancient Sumer (about 3200 BC) used to record grain and livestock. Search: Uruk clay tablets earliest accounting records. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

01.R1 State the main rule in your own words and apply it to a new small example.

01.R2 What check would you perform before accepting the result?

¹ A footnote gives a side point that would interrupt the main argument. Footnotes are numbered within each chapter and appear at the foot of the page.



CHAPTER I

Business, Money and Records

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Three ways to own a business starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Who answers for what starts with a concrete question.

The procedure keeps the idea tied to the facts.

system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

three ownership forms as owner-and-business diagrams

FIG. 1.3. three ownership forms as owner-and-business diagrams

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

1.4 SOLE TRADER, PARTNERSHIP AND COMPANY

In Sole Trader, Partnership and Company, we begin with three ways to own a business rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Sole Trader, Partnership and Company, we begin with who answers for what rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

The term **Manufacturing firm** means a business that makes goods from materials and then sells them. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sole trader** means one person who owns and runs a business and is personally responsible for its debts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Partnership** means a business owned by two or more people who agree to share its profit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Company** means a business that the law treats as a separate person, owned through shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Everyday Money and the Need for Records, we begin with money in and money out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Everyday Money and the Need for Records, we begin with why we keep records rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Everyday Money and the Need for Records, we begin with memory is not a record rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees

Manufacturing firm. a business that makes goods from materials and then sells them

Manufacturing firm names one specific idea needed here.

Sole trader. one person who owns and runs a business and is personally responsible for its debts

Sole trader names one specific idea needed here.

Partnership. a business owned by two or more people who agree to share its profit

Partnership names one specific idea needed here.

Company. a business that the law treats as a separate person, owned through shares

Company names one specific idea needed here.

Money in and money out starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why we keep records starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Memory is not a record starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Business and its customers starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Profit and loss starts with a concrete question.

The procedure keeps the idea tied to the facts.

with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a household month shown as money-in and money-out arrow

FIG. 1.1. a household month shown as money-in and money-out arrows

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

1.2 WHAT BUSINESSES DO

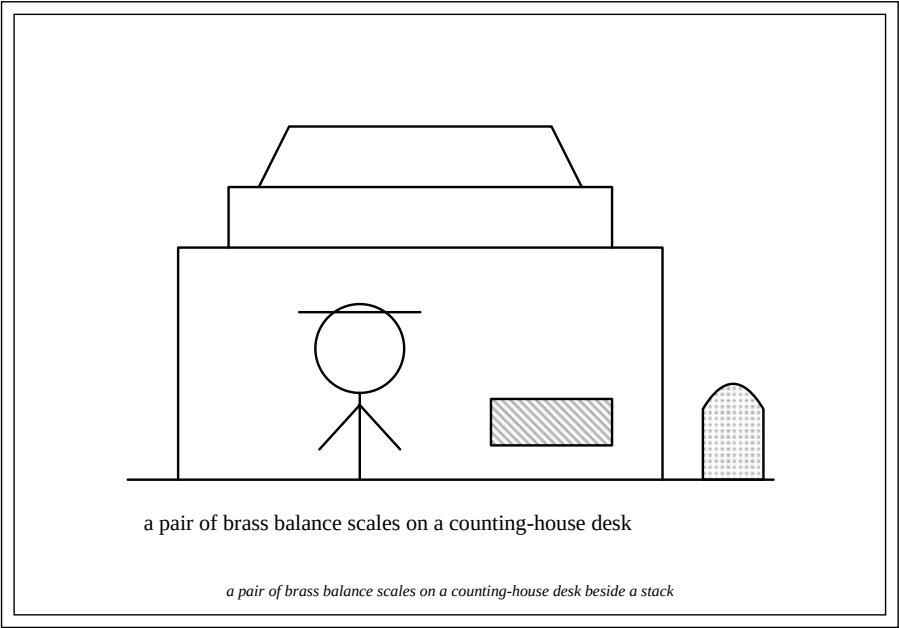
In What Businesses Do, we begin with business and its customers rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In What Businesses Do, we begin with profit and loss rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting



CHAPTER III

The Accounting Equation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Normal balance starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Debit and Credit, we begin with normal balance rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a table of the six account types with their increase si

FIG. 5.2. a table of the six account types with their increase side

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

5.3 DOUBLE ENTRY IN PRACTICE

In Double Entry in Practice, we begin with every transaction has two sides rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Every transaction has two sides starts with a concrete question.

The term **Transaction** means an event that has a money value and changes the accounting equation. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Source document** means a paper or electronic proof that a transaction took place, such as an invoice or receipt. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Account receivable** means an amount a customer owes the business for goods or services already provided. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Account payable** means an amount the business owes a supplier for goods or services already received. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Assets, Liabilities and Owner's Equity, we begin with assets and liabilities rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Assets, Liabilities and Owner's Equity, we begin with the equation: assets = liabilities + owner's equity rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Transaction. an event that has a money value and changes the accounting equation

Transaction names one specific idea needed here.

Source document. a paper or electronic proof that a transaction took place, such as an invoice or receipt

Source document names one specific idea needed here.

Account receivable. an amount a customer owes the business for goods or services already provided

Account receivable names one specific idea needed here.

Account payable. an amount the business owes a supplier for goods or services already received

Account payable names one specific idea needed here.

Assets and liabilities starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The equation: Assets = Liabilities + Owner's equity starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Account. a record of the increases and decreases in one kind of item, such as Cash or Wages Expense

Account names one specific idea needed here.

Chart of accounts. the numbered list of all the accounts a business uses

Chart of accounts names one specific idea needed here.

Debit. an entry on the left side of an account

Debit names one specific idea needed here.

Credit. an entry on the right side of an account

Credit names one specific idea needed here.

Normal balance. the side of an account, debit or credit, on which its increases are recorded

Normal balance names one specific idea needed here.

Double-entry system. the method in which every transaction is recorded as equal debits and credits in at least two accounts

Double-entry system names one specific idea needed here.

T-account. a simple drawing of an account, shaped like the letter T, with debits on the left and credits on the right

T-account names one specific idea needed here.

Account balance. the difference between the total debits and the total credits in an account

Account balance names one specific idea needed here.

What an account is starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Accounts, Debits and Credits addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

5.1 THE ACCOUNT AND ITS SIX TYPES

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Account** means a record of the increases and decreases in one kind of item, such as Cash or Wages Expense. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Chart of accounts** means the numbered list of all the accounts a business uses. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Debit** means an entry on the left side of an account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Credit** means an entry on the right side of an account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Normal balance** means the side of an account, debit or credit, on which its increases are recorded. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Double-entry system** means the method in which every transaction is recorded as equal debits and credits in at least two accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **T-account** means a simple drawing of an account, shaped like the letter T, with debits on the left and credits on the right. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Account balance** means the difference between the total debits and the total credits in an account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In The Account and Its Six Types, we begin with what an account is rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

how revenue, expenses and drawings flow into owner's eq

FIG. 3.2. how revenue, expenses and drawings flow into owner's equity

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

3.3 BUSINESS TRANSACTIONS

In Business Transactions, we begin with what counts as a transaction rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Business Transactions, we begin with source documents rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

What counts as a transaction starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Source documents starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

REVIEW QUESTIONS

- 04.R1 State the main rule in your own words and apply it to a new small example.
- 04.R2 What check would you perform before accepting the result?

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. January 2022, transactions that change only cash, equipment, money owed and money earned: 2 Jan owner Karim Meghna invests cash Tk 600,000; 3 Jan buys binding equipment Tk 150,000, paying Tk 100,000 cash and owing Tk 50,000 to Dhaka Machine Works; 8 Jan binding work for cash Tk 95,000; 12 Jan binding work for a school on account Tk 120,000; 20 Jan collects Tk 70,000 from the school; 22 Jan pays Tk 30,000 to Dhaka Machine Works; 25 Jan pays wages Tk 40,000; 28 Jan pays utilities Tk 8,000; 31 Jan owner withdraws Tk 20,000. Running totals by code: cash Tk 567,000; accounts receivable Tk 50,000; equipment Tk 150,000; total assets Tk 767,000; accounts payable Tk 20,000; owner's equity Tk 747,000 (capital Tk 600,000 plus net income Tk 167,000 less drawings Tk 20,000). Revenue Tk 215,000; expenses Tk 48,000 (wages Tk 40,000, utilities Tk 8,000).

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Figures from the month ended 31 January 2022, with no adjustments yet. Revenue Tk 215,000 (binding work for cash Tk 95,000 and on account Tk 120,000). Expenses Tk 48,000 (wages Tk 40,000; utilities Tk 8,000). Net income Tk 167,000. Owner's equity: capital Tk 600,000 at 2 January, plus net income Tk 167,000, less drawings Tk 20,000, equals Tk 747,000. Assets at 31 January: cash Tk 567,000; accounts receivable Tk 50,000; equipment Tk 150,000; total Tk 767,000. Liabilities: accounts payable Tk 20,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should

The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 03.R1 State the main rule in your own words and apply it to a new small example.
- 03.R2 What check would you perform before accepting the result?

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The closing capital figure starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

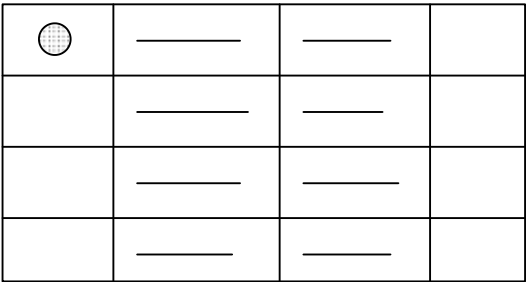
Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Statement of Owner's Equity, we begin with the closing capital figure rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



one month, one quarter and one year on a timeline

FIG. 4.2. one month, one quarter and one year on a timeline

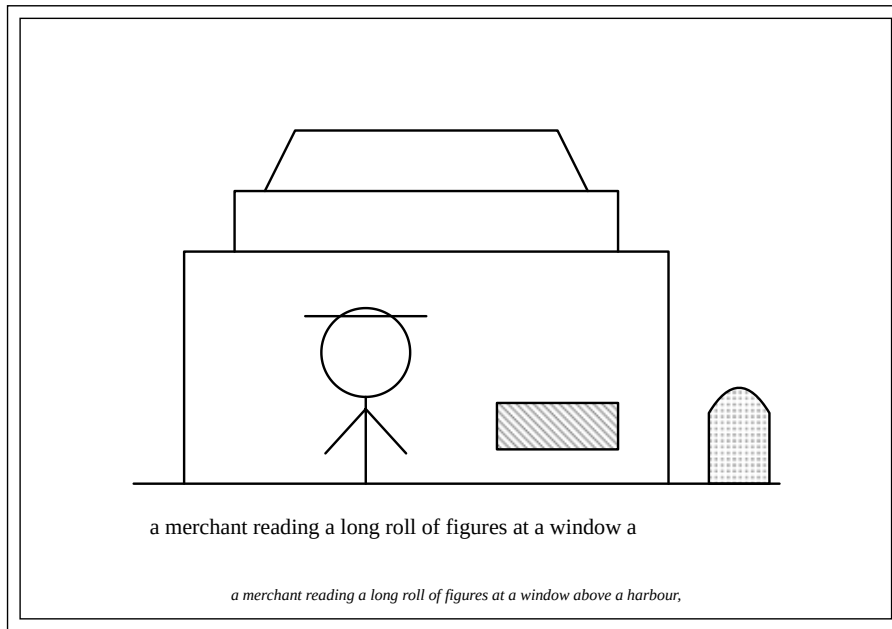
Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

4.3 THE BALANCE SHEET

Assets on one side, claims on the other starts with a concrete question.

In The Balance Sheet, we begin with assets on one side, claims on the other rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.



CHAPTER IV

A First Look at the Financial Statements

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Financial statement. a formal report that sums up the money results or position of a business

Financial statement names one specific idea needed here.

Income statement. the report that shows revenue, expenses and the resulting net income or net loss for a period

Income statement names one specific idea needed here.

Statement of owner's equity. the report that shows how the owner's equity changed during a period

Statement of owner's equity names one specific idea needed here.

Balance sheet. the report that lists the assets, liabilities and owner's equity of a business on one date

Balance sheet names one specific idea needed here.

Accounting period. the stretch of time, such as a month or a year, covered by one set of reports

Accounting period names one specific idea needed here.

Fiscal year. a twelve-month accounting period that can start in any month, such as 1 July to 30 June

Fiscal year names one specific idea needed here.

Calendar year. the twelve months from 1 January to 31 December

Calendar year names one specific idea needed here.

Interim period. a period shorter than a year, such as a month or quarter, for which reports are prepared

Interim period names one specific idea needed here.

Revenue, expenses and net income laid out starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. A First Look at the Financial Statements addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

4.1 THE INCOME STATEMENT

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Financial statement** means a formal report that sums up the money results or position of a business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Income statement** means the report that shows revenue, expenses and the resulting net income or net loss for a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Statement of owner's equity** means the report that shows how the owner's equity changed during a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Balance sheet** means the report that lists the assets, liabilities and owner's equity of a business on one date. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting period** means the stretch of time, such as a month or a year, covered by one set of reports. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Fiscal year** means a twelve-month accounting period that can start in any month, such as 1 July to 30 June. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Calendar year** means the twelve months from 1 January to 31 December. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Interim period** means a period shorter than a year, such as a month or quarter, for which reports are prepared. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In The Income Statement, we begin with revenue, expenses and net income laid out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Adjusting entry. a journal entry made at the end of a period to bring an account up to its correct amount

Adjusting entry names one specific idea needed here.

Cash basis. the method of recording revenue and expenses only when cash is received or paid
Cash basis names one specific idea needed here.

Accrual basis. the method of recording revenue when it is earned and expenses when they are incurred, whatever the cash timing

Accrual basis names one specific idea needed here.

Matching principle. the rule that expenses are recorded in the same period as the revenue they helped to earn

Matching principle names one specific idea needed here.

Prepaid expense. a cost paid in advance, held as an asset until its benefit is used up

Prepaid expense names one specific idea needed here.

Unearned revenue. money received before the work is done, held as a liability until the work is performed

Unearned revenue names one specific idea needed here.

Accrued expense. a cost already incurred in the period but not yet paid or recorded

Accrued expense names one specific idea needed here.

Accrued revenue. revenue earned in the period but not yet received or billed

Accrued revenue names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Adjusting the Accounts addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

8.1 WHY ACCOUNTS NEED ADJUSTING

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Adjusting entry** means a journal entry made at the end of a period to bring an account up to its correct amount. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash basis** means the method of recording revenue and expenses only when cash is received or paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accrual basis** means the method of recording revenue when it is earned and expenses when they are incurred, whatever the cash timing. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Matching principle** means the rule that expenses are recorded in the same period as the revenue they helped to earn. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Prepaid expense** means a cost paid in advance, held as an asset until its benefit is used up. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Unearned revenue** means money received before the work is done, held as a liability until the work is performed. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accrued expense** means a cost already incurred in the period but not yet paid or recorded. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accrued revenue** means revenue earned in the period but not yet received or billed. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

SOURCES

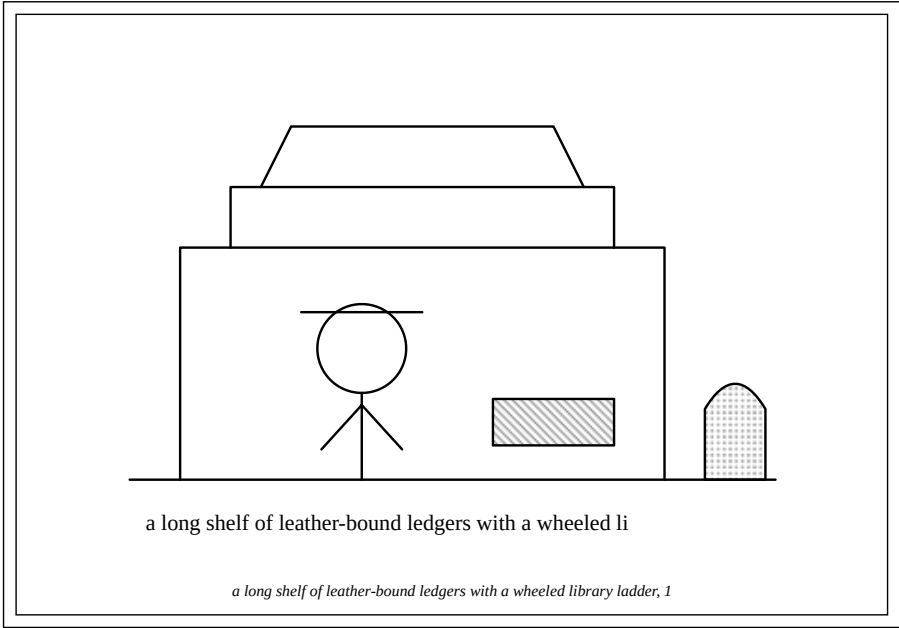
REVIEW QUESTIONS

05.R1 State the main rule in your own words and apply it to a new small example.

05.R2 What check would you perform before accepting the result?

The chapter includes a historical source note.

07.R2 What check would you perform before accepting the result?



a long shelf of leather-bound ledgers with a wheeled li

a long shelf of leather-bound ledgers with a wheeled library ladder, 1

CHAPTER VI

Journal and Ledger

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Journal and Journal Entries, we begin with narration and compound entries rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a journal page with columns labelled

FIG. 6.1. a journal page with columns labelled

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

6.2 THE LEDGER AND POSTING

In The Ledger and Posting, we begin with the ledger as the book of accounts rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Narration and compound entries starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

The ledger as the book of accounts starts with a concrete question.

The procedure keeps the idea tied to the facts.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the accounting cycle as a circle of steps

FIG. 7.2. the accounting cycle as a circle of steps

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

7.3 STEPS OF THE ACCOUNTING CYCLE

In Steps of the Accounting Cycle, we begin with the cycle from transaction to closing rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Steps of the Accounting Cycle, we begin with where each later chapter fits rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The cycle from transaction to closing starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Where each later chapter fits starts with a concrete question.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Worked Cycle of Entries, we begin with checking your own work rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. January 2022 transactions: 2 Jan owner Karim Meghna invests cash Tk 600,000; 3 Jan buys binding equipment Tk 150,000, paying Tk 100,000 cash and owing Tk 50,000 to Dhaka Machine Works; 8 Jan binding work for cash Tk 95,000; 12 Jan binding work for a school on account Tk 120,000; 20 Jan collects Tk 70,000 from the school; 22 Jan pays Tk 30,000 to Dhaka Machine Works; 25 Jan pays wages Tk 40,000; 28 Jan pays utilities Tk 8,000; 31 Jan owner withdraws Tk 20,000. Ledger balances after posting (by code): Cash Tk 567,000 Dr; Accounts Receivable Tk 50,000 Dr; Equipment Tk 150,000 Dr; Accounts Payable Tk 20,000 Cr; Owner's Capital Tk 600,000 Cr; Owner's Drawings Tk 20,000 Dr; Service Revenue Tk 215,000 Cr; Wages Expense Tk 40,000 Dr; Utilities Expense Tk 8,000 Dr. Equipment purchase of 3 January is the compound entry: Equipment Dr Tk 150,000; Cash Cr Tk 100,000; Accounts Payable Cr Tk 50,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should

A changed situation tests whether the rule has been understood.

Checking your own work starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Trial balance. a list of all ledger account balances showing that total debits equal total credits

Trial balance names one specific idea needed here.

Transposition error. a mistake in which two digits of a number are written in the wrong order

Transposition error names one specific idea needed here.

Error of omission. a mistake in which a transaction, or one side of it, is left out of the records

Error of omission names one specific idea needed here.

Compensating error. two mistakes of equal size on opposite sides that cancel each other out

Compensating error names one specific idea needed here.

Accounting cycle. the full set of steps from recording a transaction to preparing the next period's opening records

Accounting cycle names one specific idea needed here.

Listing ledger balances in two columns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

What equal totals do and do not prove starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. The Trial Balance and the Accounting Cycle addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

7.1 PREPARING A TRIAL BALANCE

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Trial balance** means a list of all ledger account balances showing that total debits equal total credits. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Transposition error** means a mistake in which two digits of a number are written in the wrong order. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Error of omission** means a mistake in which a transaction, or one side of it, is left out of the records. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Compensating error** means two mistakes of equal size on opposite sides that cancel each other out. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting cycle** means the full set of steps from recording a transaction to preparing the next period's opening records. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Preparing a Trial Balance, we begin with listing ledger balances in two columns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Preparing a Trial Balance, we begin with what equal totals do and do not prove rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Journal and Ledger is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

THINK IT THROUGH

06.T1 What is the central problem that this chapter method is designed to solve?

06.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The ledger of Giovanni Farolfi and Company, kept 1299 to 1300 at Salon-de-Provence, is one of the oldest known surviving double-entry ledgers. Search: Farolfi ledger 1299 double entry earliest. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

06.R1 State the main rule in your own words and apply it to a new small example.

06.R2 What check would you perform before accepting the result?

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the four adjustment types in a two-by-two grid

FIG. 8.2. the four adjustment types in a two-by-two grid

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

8.3 ACCRUED ITEMS

In Accrued Items, we begin with accrued expenses such as unpaid wages rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Accrued Items, we begin with accrued revenue not yet billed rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Accrued expenses such as unpaid wages starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Accrued revenue not yet billed starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

IN HISTORY

The historical case shows why careful records matter beyond a textbook example.

The British tax year begins on 6 April because of the calendar change of 1752, when eleven days were dropped and the old year-end of 25 March was moved forward. Search: why UK tax year starts 6 April 1752 calendar. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 10.R1 State the main rule in your own words and apply it to a new small example.
- 10.R2 What check would you perform before accepting the result?

* * *

8.5 THE ADJUSTED TRIAL BALANCE

In The Adjusted Trial Balance, we begin with applying the six adjustments to the trial balance rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Adjusted Trial Balance, we begin with checking that totals still agree rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Unadjusted trial balance at 31 January 2022 (Dr): Cash Tk 555,000; Accounts Receivable Tk 50,000; Supplies Tk 18,000; Prepaid Rent Tk 36,000; Equipment Tk 150,000; Owner's Drawings Tk 20,000; Wages Expense Tk 40,000; Utilities Expense Tk 8,000. (Cr): Accounts Payable Tk 38,000; Unearned Revenue Tk 24,000; Owner's Capital Tk 600,000; Service Revenue Tk 215,000. Each total Tk 877,000. Three events since the chapter 5 list: 2 Jan three months' rent paid in advance, Tk 36,000; 4 Jan supplies bought on account, Tk 18,000; 2 Jan a library paid Tk 24,000 for a 12-month repair contract running from 1 January. Month-end facts: (a) one month of rent used, Tk 12,000; (b) supplies on hand Tk 7,000, so Tk 11,000 used; (c) equipment cost Tk 150,000, residual Tk 30,000, 10 years, depreciation for one month Tk 1,000; (d) wages for the last days of January, unpaid, Tk 9,000; (e) one month of the library contract earned, Tk 2,000; (f) binding work finished but not billed, Tk 15,000. Adjusted balances by code: Accounts Receivable Tk 65,000; Supplies Tk 7,000; Prepaid Rent Tk 24,000; Accumulated Depreciation Tk 1,000 Cr; Wages Payable Tk 9,000 Cr; Unearned Revenue Tk 22,000 Cr;

Applying the six adjustments to the trial balance starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Checking that totals still agree starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

before-and-after view of temporary and permanent account

FIG. 10.2. before-and-after view of temporary and permanent accounts

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

10.3 REVERSING ENTRIES

In Reversing Entries, we begin with what a reversing entry undoes rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Reversing Entries, we begin with when reversing is optional rather than a list of rules. The first task is to identify the item or event being described and to

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

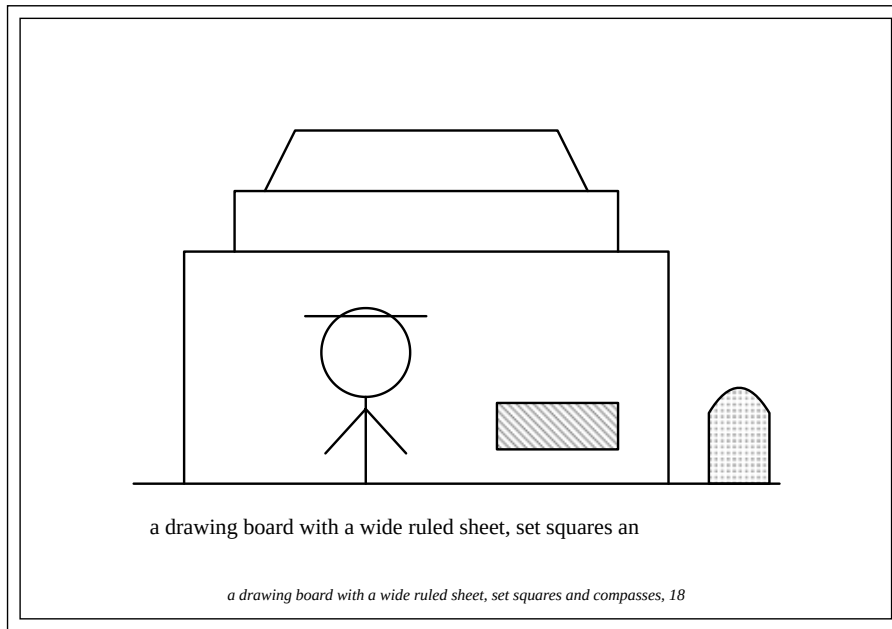
The figure shows the same relationship in a compact visual form.

What a reversing entry undoes starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

When reversing is optional starts with a concrete question.



CHAPTER IX

The Worksheet

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Closing entry. a journal entry at the end of a period that moves a temporary account's balance to equity

Closing entry names one specific idea needed here.

Temporary account. an account for revenue, expense or drawings that is closed to zero at the end of each period

Temporary account names one specific idea needed here.

Permanent account. an account for an asset, liability or owner's capital whose balance carries into the next period

Permanent account names one specific idea needed here.

Income summary. a temporary account that collects revenue and expenses before the net result moves to capital

Income summary names one specific idea needed here.

Reversing entry. an entry made on the first day of a new period that cancels an earlier adjusting entry

Reversing entry names one specific idea needed here.

Income statement and equity statement from the worksheet starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Balance sheet from the worksheet starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Closing the Books addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

10.1 PREPARING THE STATEMENTS FROM THE WORKSHEET

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Closing entry** means a journal entry at the end of a period that moves a temporary account's balance to equity. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Temporary account** means an account for revenue, expense or drawings that is closed to zero at the end of each period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Permanent account** means an account for an asset, liability or owner's capital whose balance carries into the next period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Income summary** means a temporary account that collects revenue and expenses before the net result moves to capital. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Reversing entry** means an entry made on the first day of a new period that cancels an earlier adjusting entry. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Preparing the Statements from the Worksheet, we begin with income statement and equity statement from the worksheet rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Preparing the Statements from the Worksheet, we begin with balance sheet from the worksheet rather than a list of rules. The first task is to identify the item

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the ten columns as a labelled grid

FIG. 9.1. the ten columns as a labelled grid

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

9.2 BUILDING THE TEN-COLUMN WORKSHEET

In Building the Ten-Column Worksheet, we begin with trial balance and adjustment columns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Building the Ten-Column Worksheet, we begin with adjusted trial balance, statement and balance sheet columns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Trial balance and adjustment columns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Adjusted trial balance, statement and balance sheet columns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

The Worksheet is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 09.T1 What is the central problem that this chapter method is designed to solve?
- 09.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

VisiCalc, the first spreadsheet program for personal computers, was released in 1979 for the Apple II by Dan Bricklin and Bob Frankston. Search: VisiCalc 1979 Bricklin Frankston paper ledger. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 09.R1 State the main rule in your own words and apply it to a new small example.
- 09.R2 What check would you perform before accepting the result?

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Trial balance at 31 January 2022 (Dr): Cash Tk 555,000; Accounts Receivable Tk 50,000; Supplies Tk 18,000; Prepaid Rent Tk 36,000; Equipment Tk 150,000; Owner's Drawings Tk 20,000; Wages Expense Tk 40,000; Utilities Expense Tk 8,000 (total Tk 877,000). (Cr): Accounts Payable Tk 38,000; Unearned Revenue Tk 24,000; Owner's Capital Tk 600,000; Service Revenue Tk 215,000 (total Tk 877,000). Adjustments: (a) Rent Expense Dr, Prepaid Rent Cr Tk 12,000; (b) Supplies Expense Dr, Supplies Cr Tk 11,000; (c) Depreciation Expense Dr, Accumulated Depreciation Cr Tk 1,000; (d) Wages Expense Dr, Wages Payable Cr Tk 9,000; (e) Unearned Revenue Dr, Service Revenue Cr Tk 2,000; (f) Accounts Receivable Dr, Service Revenue Cr Tk 15,000. Adjusted totals Tk 902,000 each side. Income statement columns: debits (expenses) Tk 81,000, credits (revenue) Tk 232,000, net income Tk 151,000. Balance sheet columns: debits Tk 821,000, credits Tk 670,000, difference Tk 151,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The term **Period cost** means a cost of running the business that is charged to the period in which it occurs. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Operating expense** means a cost of running the business apart from the cost of goods sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Classified income statement** means an income statement that groups items into sections such as sales, cost of goods sold and operating expenses. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Current asset** means an asset expected to be turned into cash or used within one year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Non-current asset** means an asset the firm expects to use for longer than one year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Current liability** means a debt due for payment within one year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Non-current liability** means a debt not due for payment until after one year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Classified balance sheet** means a balance sheet that groups assets and liabilities into current and non-current sections. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Buying and Selling Goods, we begin with purchases, sales, returns and freight rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Period cost. a cost of running the business that is charged to the period in which it occurs

Period cost names one specific idea needed here.

Operating expense. a cost of running the business apart from the cost of goods sold

Operating expense names one specific idea needed here.

Classified income statement. an income statement that groups items into sections such as sales, cost of goods sold and operating expenses

Classified income statement names one specific idea needed here.

Current asset. an asset expected to be turned into cash or used within one year

Current asset names one specific idea needed here.

Non-current asset. an asset the firm expects to use for longer than one year

Non-current asset names one specific idea needed here.

Current liability. a debt due for payment within one year

Current liability names one specific idea needed here.

Non-current liability. a debt not due for payment until after one year

Non-current liability names one specific idea needed here.

Classified balance sheet. a balance sheet that groups assets and liabilities into current and non-current sections

Classified balance sheet names one specific idea needed here.

Purchases, sales, returns and freight starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a classified income statement with section brackets

FIG. 11.2. a classified income statement with section brackets

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

11.3 THE CLASSIFIED INCOME STATEMENT

In The Classified Income Statement, we begin with net sales, cost of goods sold and gross profit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Classified Income Statement, we begin with operating expenses and net income rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Net sales, cost of goods sold and gross profit starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Operating expenses and net income starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Items the bank records first: charges and direct deposits starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Causes of Differences; Debit and Credit Memos, we begin with items the bank records first: charges and direct deposits rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the reconciliation statement as a two-column layout

FIG. 13.2. the reconciliation statement as a two-column layout

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

13.3 PREPARING THE RECONCILIATION STATEMENT

In Preparing the Reconciliation Statement, we begin with the two-sided reconciliation layout rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Year ended 31 December 2024, book sales. Sales Tk 3,100,000; sales returns Tk 40,000; inventory at 1 January Tk 180,000; purchases Tk 1,900,000; freight-in Tk 30,000; purchase returns Tk 25,000; inventory at 31 December Tk 210,000. Selling expenses: wages Tk 420,000; advertising Tk 60,000; delivery Tk 36,000. Administrative expenses: rent Tk 144,000; utilities Tk 48,000; insurance Tk 36,000; supplies Tk 24,000; depreciation Tk 45,000. Interest expense Tk 36,000. By code: net sales Tk 3,060,000; goods available Tk 2,085,000; cost of goods sold Tk 1,875,000; gross profit Tk 1,185,000; operating expenses Tk 813,000; operating profit Tk 372,000; net income Tk 336,000. Balance sheet at 31 December 2024: cash Tk 330,000; accounts receivable Tk 140,000; merchandise inventory Tk 210,000; supplies Tk 12,000; prepaid insurance Tk 18,000; equipment Tk 450,000 less accumulated depreciation Tk 90,000. Accounts payable Tk 160,000; wages payable Tk 14,000; unearned revenue Tk 10,000; bank loan Tk 300,000 repayable in three yearly instalments of Tk 100,000 from 2025 to 2027, so Tk 100,000 is current and Tk 200,000 is non-current. Total assets Tk 1,070,000; owner's capital at 1 January Tk 370,000; drawings Tk 120,000; closing capital Tk 586,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Bank statement. a report from the bank listing the deposits, withdrawals and balance on the firm's account

Bank statement names one specific idea needed here.

Bank reconciliation statement. a statement that explains the difference between the cash book balance and the bank statement balance

Bank reconciliation statement names one specific idea needed here.

Outstanding cheque. a cheque the firm has written and recorded but the bank has not yet paid

Outstanding cheque names one specific idea needed here.

Deposit in transit. money the firm has recorded as banked but the bank has not yet added to its statement

Deposit in transit names one specific idea needed here.

Debit memo. a bank notice that it has taken money out of the firm's account, for example a charge

Debit memo names one specific idea needed here.

Credit memo. a bank notice that it has added money to the firm's account, for example a direct customer payment

Credit memo names one specific idea needed here.

Adjusted cash balance. the correct bank balance after all reconciling items have been included

Adjusted cash balance names one specific idea needed here.

Two records of one bank account starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Bank Reconciliation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

13.1 CASH BOOK AND BANK STATEMENT

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Bank statement** means a report from the bank listing the deposits, withdrawals and balance on the firm's account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Bank reconciliation statement** means a statement that explains the difference between the cash book balance and the bank statement balance. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Outstanding cheque** means a cheque the firm has written and recorded but the bank has not yet paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Deposit in transit** means money the firm has recorded as banked but the bank has not yet added to its statement. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Debit memo** means a bank notice that it has taken money out of the firm's account, for example a charge. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Credit memo** means a bank notice that it has added money to the firm's account, for example a direct customer payment. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Adjusted cash balance** means the correct bank balance after all reconciling items have been included. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Cash Book and Bank Statement, we begin with two records of one bank account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

IN HISTORY

Amazon began selling books online from Seattle in July 1995, an example of a merchandising firm built on buying and reselling goods. Search: Amazon 1995 first books sold online. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

The historical case shows why careful records matter beyond a textbook example.

REVIEW QUESTIONS

11.R1 State the main rule in your own words and apply it to a new small example.

11.R2 What check would you perform before accepting the result?

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Special Journals and the Cash Book is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

12.T1 What is the central problem that this chapter method is designed to solve?

12.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

Francesco di Marco Datini, a merchant of Prato (about 1335 to 1410), kept many separate books for his trade; the surviving archive holds hundreds of ledgers and tens of thousands of letters. Search: Datini archive Prato ledgers letters. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

12.R1 State the main rule in your own words and apply it to a new small example.

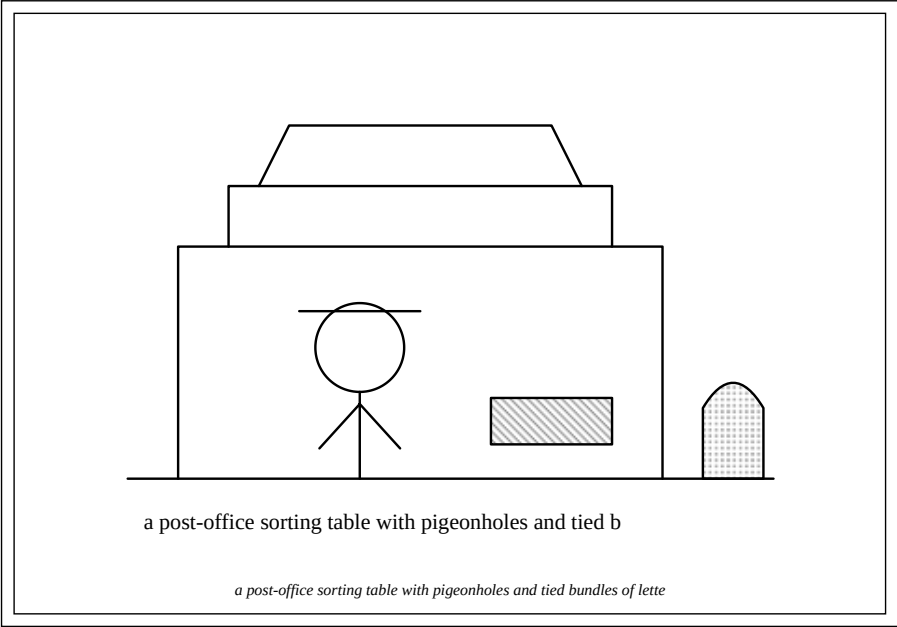
12.R2 What check would you perform before accepting the result?

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.



CHAPTER XII

Special Journals and the Cash Book

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

* * *

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Why Special Journals Exist, we begin with the general journal still has a place rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a purchases journal and a sales journal with their columns

FIG. 12.1. a purchases journal and a sales journal with their columns

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

12.2 PURCHASES AND SALES JOURNALS

In Purchases and Sales Journals, we begin with recording purchases on credit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The general journal still has a place starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Recording purchases on credit starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Recording sales on credit starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Cash receipts and the cash book starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Purchases and Sales Journals, we begin with recording sales on credit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a cash book with a receipts side and a payments side

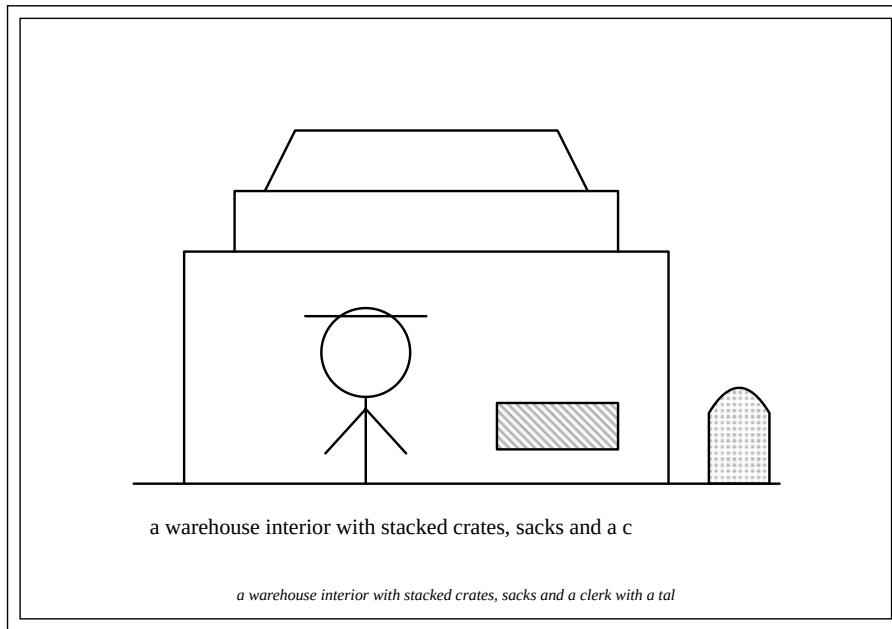
FIG. 12.2. a cash book with a receipts side and a payments side

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

12.3 THE CASH BOOK AND CASH DISBURSEMENTS

In The Cash Book and Cash Disbursements, we begin with cash receipts and the cash book rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.



CHAPTER XIV

Inventory

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Non-trading concern. an organisation, such as a club, that exists to serve its members and not to earn profit

Non-trading concern names one specific idea needed here.

Receipts and payments account. a summary of all cash received and paid in a period, whatever period it belongs to

Receipts and payments account names one specific idea needed here.

Income and expenditure account. the report of a non-trading concern that matches income and costs to the period, like an income statement

Income and expenditure account names one specific idea needed here.

Surplus. the amount by which income is greater than expenditure in a non-trading concern

Surplus names one specific idea needed here.

Deficit. the amount by which expenditure is greater than income in a non-trading concern

Deficit names one specific idea needed here.

Subscription. a regular payment that a member makes to a club

Subscription names one specific idea needed here.

Partnership deed. the written agreement among partners on how the business is run and profit shared

Partnership deed names one specific idea needed here.

Profit-sharing ratio. the agreed proportions in which partners share profit and loss

Profit-sharing ratio names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Non-Trading Concerns and Partnership Accounts addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

16.1 NON-TRADING CONCERNS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Non-trading concern** means an organisation, such as a club, that exists to serve its members and not to earn profit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Receipts and payments account** means a summary of all cash received and paid in a period, whatever period it belongs to. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Income and expenditure account** means the report of a non-trading concern that matches income and costs to the period, like an income statement. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Surplus** means the amount by which income is greater than expenditure in a non-trading concern. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Deficit** means the amount by which expenditure is greater than income in a non-trading concern. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Subscription** means a regular payment that a member makes to a club. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Partnership deed** means the written agreement among partners on how the business is run and profit shared. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Profit-sharing ratio** means the agreed proportions in which partners share profit and loss. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Ending inventory** means the cost of goods still held at the end of the period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In What Inventory Is and Its Types, we begin with inventory as a current asset rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In What Inventory Is and Its Types, we begin with raw materials, work in process and finished goods rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

layers of inventory by purchase date, with arrows for F

FIG. 14.1. layers of inventory by purchase date, with arrows for FIFO and LIFO

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

Ending inventory. the cost of goods still held at the end of the period

Ending inventory names one specific idea needed here.

Inventory as a current asset starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Raw materials, work in process and finished goods starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

SUMMARY

Plant Assets and Depreciation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

15.T1 What is the central problem that this chapter method is designed to solve?

15.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

In 1998 the waste company Waste Management restated years of earnings after it was found that useful lives of its vehicles and containers had been extended without good reason. Search: Waste Management 1998 restatement depreciation useful lives SEC. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

15.R1 State the main rule in your own words and apply it to a new small example.

15.R2 What check would you perform before accepting the result?

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In FIFO, we begin with ending inventory under fifo rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a timeline of purchases and sales for the textbook

FIG. 14.3. a timeline of purchases and sales for the textbook

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

14.4 LIFO AND WEIGHTED AVERAGE

In LIFO and Weighted Average, we begin with last-in, first-out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Ending inventory under FIFO starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Last-in, first-out starts with a concrete question.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. October 2024, one title, a first-year Business Mathematics textbook, periodic system. Opening inventory 1 October: 100 units at Tk 400. Purchases: 8 October 200 units at Tk 430; 16 October 150 units at Tk 450; 25 October 50 units at Tk 460. Sales in October: 380 units at Tk 700 each, total Tk 266,000. By code: goods available 500 units, Tk 216,500; ending inventory 120 units. FIFO: ending inventory Tk 54,500; cost of goods sold Tk 162,000; gross profit Tk 104,000. LIFO: ending inventory Tk 48,600; cost of goods sold Tk 167,900; gross profit Tk 98,100. Weighted average cost Tk 433 per unit: ending inventory Tk 51,960; cost of goods sold Tk 164,540; gross profit Tk 101,460. Note: IAS 2 does not permit LIFO, so teach it as a concept and say so.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a depreciation schedule table

FIG. 15.3. a depreciation schedule table

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

15.4 SUM OF THE YEARS' DIGITS

In Sum of the Years' Digits, we begin with sum-of-the-years'-digits method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Sum of the Years' Digits, we begin with comparing the three patterns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Sum-of-the-years'-digits method starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Comparing the three patterns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Inventory is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

14.T1 What is the central problem that this chapter method is designed to solve?

14.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

In April 2001 Cisco announced a write-down of about US\$2.25 billion on excess inventory after demand for its equipment fell. Search: Cisco April 2001 inventory write-down excess. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

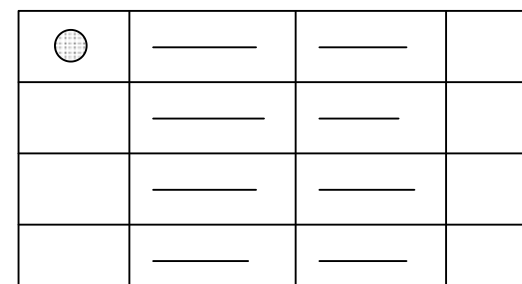
A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.



three bar charts of yearly depreciation under the three

FIG. 15.1. three bar charts of yearly depreciation under the three methods

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

15.2 WHY WE DEPRECIATE; FACTORS THAT AFFECT IT

In Why We Depreciate; Factors That Affect It, we begin with useful life, residual value and depreciable cost rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Why We Depreciate; Factors That Affect It, we begin with depreciation expense versus accumulated depreciation rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Useful life, residual value and depreciable cost starts with a concrete question.

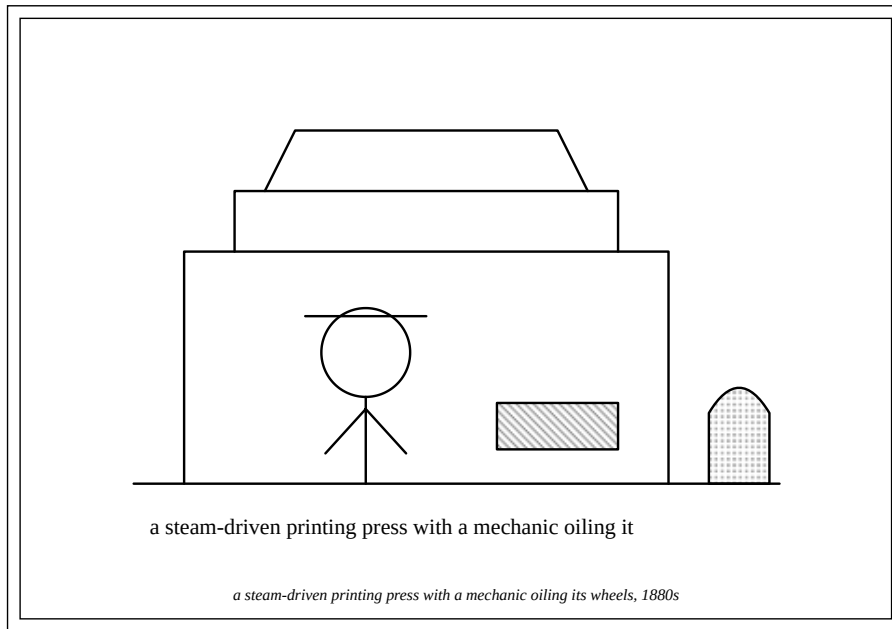
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Depreciation expense versus accumulated depreciation starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



CHAPTER XV

Plant Assets and Depreciation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Plant asset. a long-lived physical asset, such as equipment or a building, used in running the business

Plant asset names one specific idea needed here.

Capital expenditure. spending that adds to the cost of an asset, including delivery and installation

Capital expenditure names one specific idea needed here.

Useful life. the period over which an asset is expected to be of use to the business

Useful life names one specific idea needed here.

Residual value. the amount the firm expects to receive when it disposes of the asset at the end of its useful life

Residual value names one specific idea needed here.

Depreciable cost. the cost of an asset less its residual value

Depreciable cost names one specific idea needed here.

Straight-line method. a method that charges the same depreciation each year

Straight-line method names one specific idea needed here.

Units-of-production method. a method that charges depreciation in proportion to how much the asset is used

Units-of-production method names one specific idea needed here.

Sum-of-the-years'-digits method. a method that charges more depreciation in early years, using a falling fraction of depreciable cost

Sum-of-the-years'-digits method names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Plant Assets and Depreciation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

15.1 NATURE AND COST OF PLANT ASSETS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Plant asset** means a long-lived physical asset, such as equipment or a building, used in running the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Capital expenditure** means spending that adds to the cost of an asset, including delivery and installation. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Useful life** means the period over which an asset is expected to be of use to the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Residual value** means the amount the firm expects to receive when it disposes of the asset at the end of its useful life. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Depreciable cost** means the cost of an asset less its residual value. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Straight-line method** means a method that charges the same depreciation each year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Units-of-production method** means a method that charges depreciation in proportion to how much the asset is used. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sum-of-the-years'-digits method** means a method that charges more depreciation in early years, using a falling fraction of depreciable cost. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the order of a profit appropriation account

FIG. 16.2. the order of a profit appropriation account

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

16.3 SHARING PROFIT AND PARTNERS' CAPITAL

In Sharing Profit and Partners' Capital, we begin with profit-sharing ratio, interest and salary rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Sharing Profit and Partners' Capital, we begin with the appropriation account and partners' balances rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Profit-sharing ratio, interest and salary starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The appropriation account and partners' balances starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The Dhaka Stock Exchange was established in 1954 as the East Pakistan Stock Exchange Association and renamed in 1964. Search: Dhaka Stock Exchange history 1954 established. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

18.R1 State the main rule in your own words and apply it to a new small example.

18.R2 What check would you perform before accepting the result?

numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

* * *

WORKED CASE

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Situation. Meghna and Sons, illustrative. On 1 July 2026 the family business became Meghna Books Limited. Authorised capital Tk 6,000,000: 400,000 ordinary shares of Tk 10 par value and 20,000 6% preference shares of Tk 100 par value. Issue of 200,000 ordinary shares at Tk 12 each, payable Tk 4 on application, Tk 5 on allotment (including the Tk 2 premium) and Tk 3 on the final call. By code: application Tk 800,000; allotment Tk 1,000,000; call Tk 600,000; total Tk 2,400,000, of which share capital Tk 2,000,000 and share premium Tk 400,000. All applicants pay in full on each due date. 20,000 preference shares issued at par for cash, Tk 2,000,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

BRAC, a non-profit organisation, was founded in 1972 by Fazle Hasan Abed to help refugees returning to Bangladesh after the war, and became one of the world's largest non-governmental organisations. Search: BRAC founded 1972 Fazle Hasan Abed Sulla. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

The historical case shows why careful records matter beyond a textbook example.

REVIEW QUESTIONS

16.R1 State the main rule in your own words and apply it to a new small example.

16.R2 What check would you perform before accepting the result?

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

owners, shares and company shown as three layers

FIG. 18.1. owners, shares and company shown as three layers

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

18.2 TYPES OF SHARES

In Types of Shares, we begin with ordinary and preference shares rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Types of Shares, we begin with par value and share premium rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Ordinary and preference shares starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Par value and share premium starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Share. one of the equal parts into which a company's capital is divided

Share names one specific idea needed here.

Shareholder. a person or organisation that owns one or more shares in a company

Shareholder names one specific idea needed here.

Limited liability. the rule that shareholders can lose no more than they have paid or agreed to pay for their shares

Limited liability names one specific idea needed here.

Ordinary share. a share that carries the right to vote and to receive the profit left after other claims

Ordinary share names one specific idea needed here.

Preference share. a share that has a right to a fixed dividend before ordinary shareholders are paid

Preference share names one specific idea needed here.

Par value. the face value printed on a share

Par value names one specific idea needed here.

Share premium. the amount a company receives above par value when it issues a share

Share premium names one specific idea needed here.

Dividend. a share of a company's profit paid to its shareholders

Dividend names one specific idea needed here.

Application money. the first payment, made with a request to buy shares

Application money names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Company Accounting and Shares addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

18.1 WHAT A COMPANY IS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Share** means one of the equal parts into which a company's capital is divided. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Shareholder** means a person or organisation that owns one or more shares in a company. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Limited liability** means the rule that shareholders can lose no more than they have paid or agreed to pay for their shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Ordinary share** means a share that carries the right to vote and to receive the profit left after other claims. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

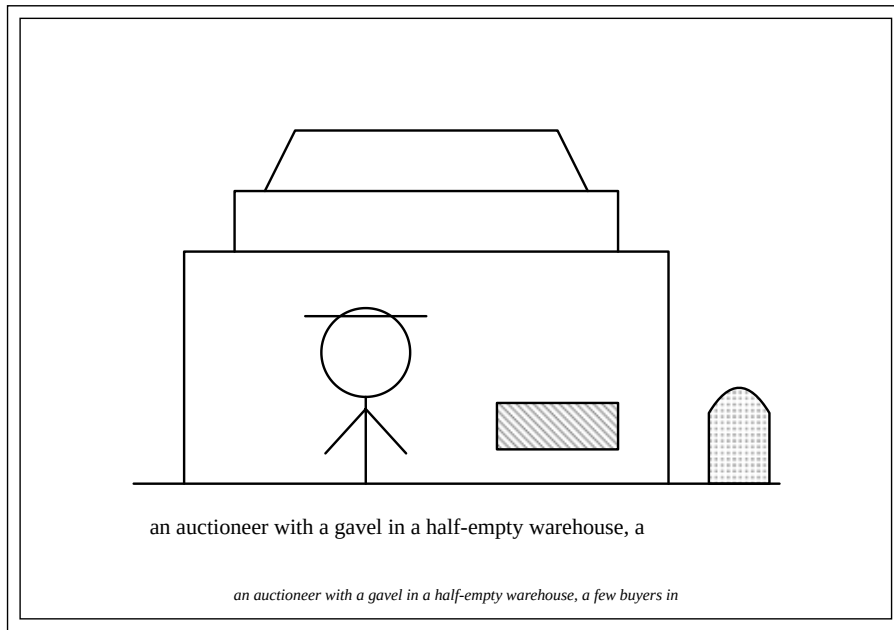
The term **Preference share** means a share that has a right to a fixed dividend before ordinary shareholders are paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Par value** means the face value printed on a share. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Share premium** means the amount a company receives above par value when it issues a share. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Dividend** means a share of a company's profit paid to its shareholders. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Application money** means the first payment, made with a request to buy shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.



CHAPTER XVII

Partnership Liquidation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the order of payment in a liquidation as a stair of thr

FIG. 17.1. the order of payment in a liquidation as a stair of three steps

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

17.2 SELLING ASSETS AND PAYING CREDITORS

In Selling Assets and Paying Creditors, we begin with realisation of non-cash assets and the loss on realisation rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Selling Assets and Paying Creditors, we begin with paying liabilities before partners rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Realisation of non-cash assets and the loss on realisation starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Paying liabilities before partners starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 17.T1 What is the central problem that this chapter method is designed to solve?
- 17.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

Arthur Andersen, one of the world's largest accounting partnerships, wound down in 2002 after its conviction for obstruction of justice linked to the Enron audit. Search: Arthur Andersen 2002 conviction wind-down partnership. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 17.R1 State the main rule in your own words and apply it to a new small example.
- 17.R2 What check would you perform before accepting the result?

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. A planning exercise on 31 March 2026: the partners Karim and Imran Meghna study what would happen if the partnership were closed. Balance sheet: cash Tk 100,000; non-cash assets Tk 800,000; liabilities Tk 300,000; capital Karim Tk 450,000 and Imran Tk 150,000 (Tk 900,000 each side). Losses are shared 2:1. By code: (A) non-cash assets sold for Tk 590,000, loss Tk 210,000 (Karim Tk 140,000; Imran Tk 70,000); cash Tk 690,000, after paying liabilities Tk 390,000 is shared: Karim Tk 310,000; Imran Tk 80,000. (B) assets sold for Tk 320,000, loss Tk 480,000 (Karim Tk 320,000; Imran Tk 160,000); Imran's capital falls to a deficiency of Tk 10,000, which he pays in cash, so Karim receives Tk 130,000. (C) as (B) but Imran cannot pay; Karim absorbs the Tk 10,000 and receives Tk 120,000. The firm in fact continued.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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working. Estimate the result first, then calculate it exactly and compare the two results.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

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Normal balance, 36, 38, 63

O

Operating expense, 89, 91, 93

Ordinary share, 152, 156

Outstanding cheque, 106–107

Owner, 2, 6, 10, 15, 18–19, 21, 23, 28–30, 32, 40, ...

Owner's equity, 18–19, 21, 23, 28–30, 32, 40

P

Par value, 152, 154, 156

Partnership, 3, 6, 134–136, 138, 140, 144, 147, 149–150

Partnership deed, 134, 136

Percentage, 160

Percentage change, 160

Period cost, 89–90

Permanent account, 80, 82

Plant asset, 124–125, 129, 132

Posting, 46–49

Preference share, 152, 154, 156

Prepaid expense, 62, 64

Product cost, 88, 90

Profit, 2–4, 7, 70, 88, 90–91, 93, 116, 118–119, 134–135, 137–138, ...

Profit-sharing ratio, 134, 137

Purchase return, 88, 93

Purchases, 88–89, 93, 98–101, 117, 119

Purchases journal, 98–99

R

Ratio, 134, 137, 160

Raw materials, 114–115

Realisation, 144–145

Receipts and payments account, 134–136

Record, 2–8, 10–16, 18–24, 28–33, 36–40, 42, 46–49, 51–52, 54–57, 59, ...

Residual value, 124, 126, 129

Revenue, 15, 18, 20–21, 23, 28, 32, 40, 49, 57, 62, ...

Reversing entry, 80, 82–83

Rounding, 160

S

Sales, 88–89, 91, 93, 98–101, 117, 119

Sales journal, 98–100

Sales return, 88, 93

Service firm, 2

GLOSSARY

Account. a record of the increases and decreases in one kind of item, such as Cash or Wages Expense The chapter example shows how the term is used in practice. (*Chapter V*)

Account balance. the difference between the total debits and the total credits in an account The chapter example shows how the term is used in practice. (*Chapter V*)

Account payable. an amount the business owes a supplier for goods or services already received The chapter example shows how the term is used in practice. (*Chapter III*)

Account receivable. an amount a customer owes the business for goods or services already provided The chapter example shows how the term is used in practice. (*Chapter III*)

Accounting. the process of recording, sorting, summarising and reporting the money events of a business The chapter example shows how the term is used in practice. (*Chapter II*)

Accounting cycle. the full set of steps from recording a transaction to preparing the next period's opening records The chapter example shows how the term is used in practice. (*Chapter VII*)

Accounting equation. the statement that assets always equal liabilities plus owner's equity The chapter example shows how the term is used in practice. (*Chapter III*)

Accounting period. the stretch of time, such as a month or a year, covered by one set of reports The chapter example shows how the term is used in practice. (*Chapter IV*)

Accounting standard. a detailed rule, issued by an official body, on how a type of item must be recorded and reported The chapter example shows how the term is used in practice. (*Chapter II*)

Accrual basis. the method of recording revenue when it is earned and expenses when they are incurred, whatever the cash timing The chapter example shows how the term is used in practice. (*Chapter VIII*)

Accrued expense. a cost already incurred in the period but not yet paid or recorded The chapter example shows how the term is used in practice. (*Chapter VIII*)

Accrued revenue. revenue earned in the period but not yet received or billed The chapter example shows how the term is used in practice. (*Chapter VIII*)

Accumulated depreciation. the total depreciation charged on an asset since it was bought The chapter example shows how the term is used in practice. (*Chapter VIII*)

Adjusted cash balance. the correct bank balance after all reconciling items have been included The chapter example shows how the term is used in practice. (*Chapter XIII*)

Adjusted trial balance. a trial balance prepared after the adjusting entries have been posted The chapter example shows how the term is used in practice. (*Chapter VIII*)

Adjusting entry. a journal entry made at the end of a period to bring an account up to its correct amount The chapter example shows how the term is used in practice. (*Chapter VIII*)

Chart of accounts, 36–37

Classified balance sheet, 89, 92

Classified income statement, 89, 91

Closing entry, 80

Company, 3, 6, 33, 52, 74, 88, 94, 132, 152–154, 157

Compensating error, 54

Compound entry, 46, 49

Contra account, 63, 66

Cost accounting, 10, 12

Cost flow assumption, 114

Cost of goods sold, 88–91, 93, 119

Credit, 36–38, 40, 42, 46, 54, 57, 72, 75, 98–101, 106–108, ...

Credit memo, 106–108

Current asset, 89, 92, 115

Current liability, 89

Customer, 2, 4, 18–19, 88, 90, 106, 114

D

Debit, 36–38, 40, 42, 46, 54, 57, 72, 75, 106–108, 144

Debit memo, 106

Deficit, 134

Deposit in transit, 106

Depreciable cost, 124, 126, 129

Depreciation, 63, 66–68, 75, 83, 93, 124–126, 128–129, 132

Depreciation schedule, 125, 128–129

Dividend, 152

Double-entry system, 36

Drawings, 18, 20–21, 23, 29, 32, 40, 49, 57, 67, 75, ...

E

Ending inventory, 115, 117, 119

Error of omission, 54

Expense, 18, 20–21, 23, 28, 32, 36, 40, 49, 57, 62, ...

F

Financial accounting, 10

Financial statement, 28, 33

Finished goods, 2, 5, 114–115

First-in, first-out (FIFO), 114

Fiscal year, 28, 31

Folio, 46

Footings, 72

Freight-in, 88, 93

Cash disbursements journal. the special journal for all money paid out The chapter example shows how the term is used in practice. (*Chapter XII*)

Cash distribution schedule. a table that shows how cash is paid out to creditors and partners step by step The chapter example shows how the term is used in practice. (*Chapter XVII*)

Cash receipts journal. the special journal for all money received The chapter example shows how the term is used in practice. (*Chapter XII*)

Chart of accounts. the numbered list of all the accounts a business uses The chapter example shows how the term is used in practice. (*Chapter V*)

Classified balance sheet. a balance sheet that groups assets and liabilities into current and non-current sections The chapter example shows how the term is used in practice. (*Chapter XI*)

Classified income statement. an income statement that groups items into sections such as sales, cost of goods sold and operating expenses The chapter example shows how the term is used in practice. (*Chapter XI*)

Closing entry. a journal entry at the end of a period that moves a temporary account's balance to equity The chapter example shows how the term is used in practice. (*Chapter X*)

Company. a business that the law treats as a separate person, owned through shares The chapter example shows how the term is used in practice. (*Chapter I*)

Compensating error. two mistakes of equal size on opposite sides that cancel each other out The chapter example shows how the term is used in practice. (*Chapter VII*)

Compound entry. a journal entry that affects more than two accounts The chapter example shows how the term is used in practice. (*Chapter VI*)

Contra account. an account that is deducted from a related account and has the opposite normal balance The chapter example shows how the term is used in practice. (*Chapter VIII*)

Cost accounting. accounting that works out what it costs to make a product or provide a service The chapter example shows how the term is used in practice. (*Chapter II*)

Cost flow assumption. a rule that decides which purchase costs are assigned to goods sold and which to goods still held The chapter example shows how the term is used in practice. (*Chapter XIV*)

Cost of goods sold. the cost of the goods that were sold during the period The chapter example shows how the term is used in practice. (*Chapter XI*)

Credit. an entry on the right side of an account The chapter example shows how the term is used in practice. (*Chapter V*)

Credit memo. a bank notice that it has added money to the firm's account, for example a direct customer payment The chapter example shows how the term is used in practice. (*Chapter XIII*)

Current asset. an asset expected to be turned into cash or used within one year The chapter example shows how the term is used in practice. (*Chapter XI*)

Current liability. a debt due for payment within one year The chapter example shows how the term is used in practice. (*Chapter XI*)

Customer. a person or organisation that pays for the goods or services a business

Fiscal year. a twelve-month accounting period that can start in any month, such as 1 July to 30 June The chapter example shows how the term is used in practice. (*Chapter IV*)

Folio. a page or reference number used to link a journal entry with its ledger account The chapter example shows how the term is used in practice. (*Chapter VI*)

Footings. adding up a column of figures to get its total The chapter example shows how the term is used in practice. (*Chapter IX*)

Freight-in. the cost of carrying purchased goods to the firm's premises The chapter example shows how the term is used in practice. (*Chapter XI*)

General journal. the journal used for transactions that no special journal covers The chapter example shows how the term is used in practice. (*Chapter XII*)

Generally accepted accounting principles. the body of agreed rules that businesses follow when they prepare accounts The chapter example shows how the term is used in practice. (*Chapter II*)

Going concern concept. the assumption that a business will continue to operate for the foreseeable future The chapter example shows how the term is used in practice. (*Chapter II*)

Gross profit. net sales less cost of goods sold The chapter example shows how the term is used in practice. (*Chapter XI*)

Historical cost concept. the rule that an asset is recorded at the price actually paid for it The chapter example shows how the term is used in practice. (*Chapter II*)

Income and expenditure account. the report of a non-trading concern that matches income and costs to the period, like an income statement The chapter example shows how the term is used in practice. (*Chapter XVI*)

Income statement. the report that shows revenue, expenses and the resulting net income or net loss for a period The chapter example shows how the term is used in practice. (*Chapter IV*)

Income summary. a temporary account that collects revenue and expenses before the net result moves to capital The chapter example shows how the term is used in practice. (*Chapter X*)

Interest on capital. an agreed payment to a partner for the capital put into the business The chapter example shows how the term is used in practice. (*Chapter XVI*)

Interim period. a period shorter than a year, such as a month or quarter, for which reports are prepared The chapter example shows how the term is used in practice. (*Chapter IV*)

Inventory. goods a business holds for sale, or materials and part-made goods it holds to make products The chapter example shows how the term is used in practice. (*Chapter XIV*)

Invoice. a document sent by a seller stating the goods or services supplied and the amount due The chapter example shows how the term is used in practice. (*Chapter XII*)

Journal. the book in which each transaction is first recorded, in date order The chapter example shows how the term is used in practice. (*Chapter VI*)

CHAPTER XV · PLANT ASSETS AND DEPRECIATION

15.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

15.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

15.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

15.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XVI · NON-TRADING CONCERNS AND PARTNERSHIP ACCOUNTS

16.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

16.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

16.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

16.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XVII · PARTNERSHIP LIQUIDATION

17.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

17.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

17.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

17.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XVIII · COMPANY ACCOUNTING AND SHARES

18.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

18.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

18.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

18.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

Normal balance. the side of an account, debit or credit, on which its increases are recorded The chapter example shows how the term is used in practice. (*Chapter V*)

Operating expense. a cost of running the business apart from the cost of goods sold The chapter example shows how the term is used in practice. (*Chapter XI*)

Ordinary share. a share that carries the right to vote and to receive the profit left after other claims The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Outstanding cheque. a cheque the firm has written and recorded but the bank has not yet paid The chapter example shows how the term is used in practice. (*Chapter XIII*)

Owner. a person who put money into a business and has a claim on what is left after debts are paid The chapter example shows how the term is used in practice. (*Chapter I*)

Owner's equity. the owner's claim on the business: what is left when liabilities are taken from assets The chapter example shows how the term is used in practice. (*Chapter III*)

Par value. the face value printed on a share The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Partnership. a business owned by two or more people who agree to share its profit The chapter example shows how the term is used in practice. (*Chapter I*)

Partnership deed. the written agreement among partners on how the business is run and profit shared The chapter example shows how the term is used in practice. (*Chapter XVI*)

Percentage. a number written as a part out of one hundred The chapter example shows how the term is used in practice. (*Appendix A*)

Percentage change. the size of an increase or decrease shown as a percentage of the starting figure The chapter example shows how the term is used in practice. (*Appendix A*)

Period cost. a cost of running the business that is charged to the period in which it occurs The chapter example shows how the term is used in practice. (*Chapter XI*)

Permanent account. an account for an asset, liability or owner's capital whose balance carries into the next period The chapter example shows how the term is used in practice. (*Chapter X*)

Plant asset. a long-lived physical asset, such as equipment or a building, used in running the business The chapter example shows how the term is used in practice. (*Chapter XV*)

Posting. copying the amounts from journal entries into the proper ledger accounts The chapter example shows how the term is used in practice. (*Chapter VI*)

Preference share. a share that has a right to a fixed dividend before ordinary shareholders are paid The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Prepaid expense. a cost paid in advance, held as an asset until its benefit is used up The chapter example shows how the term is used in practice. (*Chapter VIII*)

05.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

05.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER VI · JOURNAL AND LEDGER

06.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

06.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

06.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

06.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER VII · THE TRIAL BALANCE AND THE ACCOUNTING CYCLE

07.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

07.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

07.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

07.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER VIII · ADJUSTING THE ACCOUNTS

08.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

08.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

08.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

08.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER IX · THE WORKSHEET

09.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

09.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

09.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

09.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER X · CLOSING THE BOOKS

10.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

Share. one of the equal parts into which a company's capital is divided The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Share premium. the amount a company receives above par value when it issues a share The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Shareholder. a person or organisation that owns one or more shares in a company The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Sole trader. one person who owns and runs a business and is personally responsible for its debts The chapter example shows how the term is used in practice. (*Chapter I*)

Source document. a paper or electronic proof that a transaction took place, such as an invoice or receipt The chapter example shows how the term is used in practice. (*Chapter III*)

Special journal. a journal used for only one kind of repeated transaction, such as credit purchases The chapter example shows how the term is used in practice. (*Chapter XII*)

Statement of owner's equity. the report that shows how the owner's equity changed during a period The chapter example shows how the term is used in practice. (*Chapter IV*)

Stockout. a shortage that occurs when goods are wanted by customers but none are available The chapter example shows how the term is used in practice. (*Chapter XIV*)

Straight-line method. a method that charges the same depreciation each year The chapter example shows how the term is used in practice. (*Chapter XV*)

Subscription. a regular payment that a member makes to a club The chapter example shows how the term is used in practice. (*Chapter XVI*)

Sum-of-the-years'-digits method. a method that charges more depreciation in early years, using a falling fraction of depreciable cost The chapter example shows how the term is used in practice. (*Chapter XV*)

Supplier. a person or organisation that sells goods or services to a business The chapter example shows how the term is used in practice. (*Chapter I*)

Surplus. the amount by which income is greater than expenditure in a non-trading concern The chapter example shows how the term is used in practice. (*Chapter XVI*)

T-account. a simple drawing of an account, shaped like the letter T, with debits on the left and credits on the right The chapter example shows how the term is used in practice. (*Chapter V*)

Temporary account. an account for revenue, expense or drawings that is closed to zero at the end of each period The chapter example shows how the term is used in practice. (*Chapter X*)

Ten-column worksheet. a worksheet with five pairs of debit and credit columns, from unadjusted trial balance to balance sheet The chapter example shows how the term is used in practice. (*Chapter IX*)

Transaction. an event that has a money value and changes the accounting equation The chapter example shows how the term is used in practice. (*Chapter III*)

Transposition error. a mistake in which two digits of a number are written in the wrong order The chapter example shows how the term is used in practice. (*Chapter VII*)

Trial balance. a list of all ledger account balances showing that total debits equal total credits The chapter example shows how the term is used in practice. (*Chapter VII*)

Unearned revenue. money received before the work is done, held as a liability until the work is performed The chapter example shows how the term is used in practice. (*Chapter VIII*)

Units-of-production method. a method that charges depreciation in proportion to how much the asset is used The chapter example shows how the term is used in practice. (*Chapter XV*)

Useful life. the period over which an asset is expected to be of use to the business The chapter example shows how the term is used in practice. (*Chapter XV*)

User of accounting information. any person or group that reads accounting reports in order to make a decision The chapter example shows how the term is used in practice. (*Chapter II*)

Weighted average cost. a method that gives each unit the average cost of all units available The chapter example shows how the term is used in practice. (*Chapter XIV*)

Work in process. goods that have been started in production but are not yet finished The chapter example shows how the term is used in practice. (*Chapter XIV*)

Worksheet. a working paper, not a formal report, that lays out the trial balance, adjustments and statement figures in columns The chapter example shows how the term is used in practice. (*Chapter IX*)

